What’s the risk?

Of course, the value of these securities can go up or down, like any other product traded in a market. Some, such as shares in a large and well-established company, or government bonds, are likely to be safe bets, bringing their owners a reasonable return on their money. But—and this is the gamble—buying more risky securities could bring a better profit. Advances in information technology have allowed traders in the financial markets to find new ways of calculating the risk of buying securities. They have employed financial analysts with training in math or physics rather than economics. Their aim has been to beat the system and find risk-free ways of making a profit. The analysts have created new financial products, such as derivatives of debt securities. These might include banks making loans to companies with no established reputation, or to individuals whose jobs may be at risk. Because the borrower may not pay back the loan it’s a risky asset for the bank. But if they put some of these loans together with safer ones, they can sell them in a “package” as a debt security. Traders can make even more complex financial products by bundling several packages together and selling parts of them.